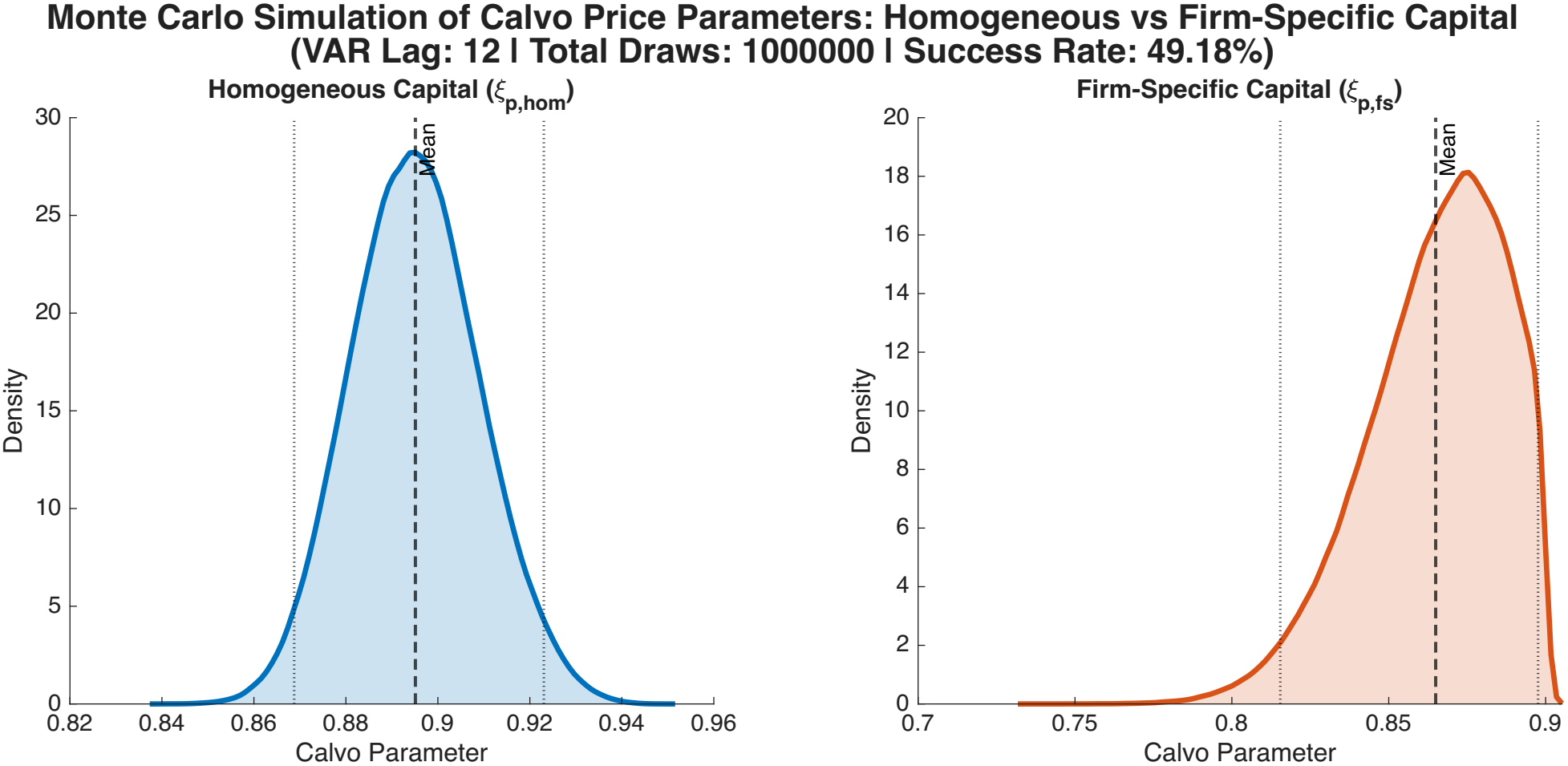
Monte Carlo Simulation of Calvo Price Parameters: Homogeneous vs Firm-Specific Capital
(VAR Lag: 12 | Total Draws: 1000000 | Success Rate: 49.18%)
Homogeneous Capital ($\xi_{p,hom}$)
Mean
Density
Calvo Parameter
0
5
10
15
20
25
30
0.82
0.84
0.86
0.88
0.9
0.92
0.94
0.96
Firm-Specific Capital ($\xi_{p,fs}$)
Mean
Density
Calvo Parameter
0
2
4
6
8
10
12
14
16
18
20
0.7
0.75
0.8
0.85
0.9